

THE MONEY RESET WORKBOOK

Your Guide to Understanding the Fed's Next Move

Welcome to Your Learning Journey!

This workbook is designed to help you understand and apply the concepts from the video "They're About to RESET Your Money: What the Fed Just Did (Kevin Hassett Bombshell)."

How to Use This Workbook:

- Watch the video section by section
- Answer the questions honestly (there are no wrong answers!)
- Use this as a tool to think through your own financial situation
- Keep this workbook for future reference

Important Note: This workbook is for educational purposes only. Nothing in this workbook or the accompanying video is financial advice. We're here to help you learn and think critically about money, not to tell you what to do with your investments. Always consult with a qualified financial advisor before making any investment decisions.

SECTION 1: The Big Picture - What Just Happened?

Key Points from the Video:

1. The Fed Stopped Quantitative Tightening (QT) on December 1st

- For three years, the Fed was pulling money OUT of the economy
- Now they've stopped doing that
- This is like switching from draining a bathtub to getting ready to fill it up again

2. Kevin Hassett May Become the Next Fed Chair

- Betting markets give him a 75% chance
- He's pro-crypto and pro-growth
- He owns a significant stake in Coinbase (a crypto company)

3. This Could Mean Big Money Printing Is Coming

- When the Fed prints money, it doesn't affect everyone equally
 - Some people's wealth grows, others' wealth shrinks
 - Understanding this helps you position yourself on the winning side
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Reflection Questions:

Question 1: Before watching this video, did you know what "Quantitative Tightening" meant? Write a simple definition in your own words now:

Question 2: Think about your own money. Where is most of it right now? (Check all that apply)

- ☐ Savings account
- ☐ 401k or retirement account
- ☐ Stocks or ETFs
- ☐ Bonds
- ☐ Real estate
- ☐ Cryptocurrency
- ☐ Cash under the mattress (literally or figuratively)
- ☐ Other: ____

Question 3: On a scale of 1-10, how prepared do you feel for potential inflation or economic changes?

1 — 2 — 3 — 4 — 5 — 6 — 7 — 8 — 9 — 10

(Not prepared at all) —————> (Very prepared)

SECTION 2: Understanding the Debt Problem

Key Points from the Video:

The Numbers That Matter:

- **\$36 trillion** = America's total debt
- **\$103,000** = Debt per person (every American)
- **\$266,000** = Debt per household
- **\$3 billion per day** = Interest payments
- **130%** = Debt-to-GDP ratio (we owe more than we make)

The Simple Analogy:

Imagine you earn \$100,000 per year, but you owe \$130,000 on credit cards and pay \$30,000 per year just in interest. You'd be in serious trouble! That's where America is right now.

Reflection Questions:

Question 4: Using the analogy above, if YOUR household income is \$50,000 per year, what would be the equivalent debt problem?

Your income: \$50,000

Your equivalent debt would be: \$_ (**Hint: 130% of your income**)

Your equivalent annual interest: \$_ (Hint: about 30% of your income)

Question 5: When a country (or person) has too much debt, what are the possible solutions? List as many as you can think of:

1. _____

2. _____

3. _____

4. _____

Question 6: The video explained why most “obvious” solutions won’t work. Which solution surprised you the most as being impossible or impractical? Why?

SECTION 3: Learning from History

Key Points from the Video:

Three Historical Examples:

1. Nixon Shock (1971)

- The U.S. ended the gold standard
- Result: Massive inflation in the 1970s
- Winners: People who owned gold, stocks, real estate
- Losers: People who held cash or bonds

2. Brady Plan (1989)

- Latin American countries had too much debt
- Solution: Restructured old debt into new bonds
- This is “financial engineering” - swapping one type of debt for another

3. Pandemic Money Printing (2020-2021)

- Fed created trillions of dollars
- Result: Stock market soared, real estate up 30-40%, then 9% inflation
- Winners: Asset owners
- Losers: Cash savers

The Pattern: Every time there’s a debt crisis, governments choose inflation over default. Asset owners win, cash holders lose.

Reflection Questions:

Question 7: What do all three historical examples have in common? What’s the pattern?

Question 8: During the pandemic (2020-2021), what happened to YOUR financial situation? Did your assets grow? Did your savings lose purchasing power? Reflect honestly:

Question 9: Based on these historical patterns, if the Fed starts printing money again, what do you think will happen to:

- **Cash in savings accounts:** _____
- **Stocks and real estate:** _____
- **Your purchasing power:** _____

SECTION 4: The Wealth Transfer Mechanism

Key Points from the Video:

How Inflation Transfers Wealth:

When the Fed prints money, it creates inflation. Inflation is like a “hidden tax” on your savings.

Example: If you have \$100,000 in a savings account earning 1% interest, but inflation is 5%, you’re actually LOSING 4% per year in purchasing power. That’s \$4,000 per year disappearing from your wealth.

Who Wins:

- People who own assets (stocks, real estate, commodities)
- People who own businesses
- People who have debt (inflation makes debt easier to pay back)

Who Loses:

- People who hold cash
- People on fixed incomes
- People who own long-term bonds

Reflection Questions:

Question 10: Calculate your own inflation impact. If you have \$10,000 in savings and inflation is 5% per year, how much purchasing power do you lose in one year?

Lost purchasing power = \$_____

Question 11: Think about the last 3 years. Have you noticed prices going up? List 3-5 things that cost significantly more now than they did in 2021:

1. _____

2. _____

3. _____

4. _____

5. _____

Question 12: Based on what you learned, are you currently positioned as a “winner” or “loser” in a potential inflation scenario? Explain:

SECTION 5: Asset Positioning Strategy

Key Points from the Video:

What to Consider Owning (Educational Perspective):

- **Stocks/ETFs** - Especially companies that benefit from inflation
- **Real Estate** - Physical assets that appreciate with inflation
- **Commodities/Gold** - Traditional inflation hedges
- **Select Bonds** - Short-duration, inflation-protected types
- **Crypto** - Potentially benefits from monetary expansion (high risk)

What to Be Cautious About:

- **Long-term fixed-rate bonds** - Get destroyed by inflation
- **Cash sitting idle** - Loses purchasing power
- **Keeping everything in one asset class** - Lack of diversification

Remember: This is educational information, not advice. Every person's situation is different.

Reflection Questions:

Question 13: Without making any decisions, just think: What percentage of your investable money is currently in each category?

- Stocks/ETFs: _____%
- Real estate: _____%
- Bonds: _____%
- Cash/Savings: _____%
- Crypto: _____%
- Other: _____%
- **Total: 100%**

Question 14: Based on what you learned about inflation and wealth transfer, does your current allocation make sense for your goals? Why or why not?

Question 15: What's ONE thing you want to research more or discuss with a financial advisor?

SECTION 6: The Selling Rulebook

Key Points from the Video:

Wall Street's Secret: Most investors focus on BUYING. The real skill is knowing when to SELL.

Key Principles Discussed:

1. Have a plan BEFORE you buy
2. Know your exit strategy
3. Don't let winners turn into losers
4. Use rules, not emotions
5. Rebalance regularly

Why This Matters: Retail investors often buy and hold forever, or panic sell at the worst time. Professional investors have systematic rules for when to take profits and cut losses.

Reflection Questions:

Question 16: Think about an investment you currently own. Do you have a clear plan for when you would sell it? Write it down:

Investment: _____

I would sell if: _____

Question 17: Have you ever held an investment that went up significantly, then gave back all the gains because you didn't sell? What happened?

Question 18: What's more difficult for you emotionally: Buying an investment, or selling one? Why?

SECTION 7: Your Action Plan

Key Points from the Video:

Timeline and Expectations:

- **Short-term (6-12 months):** Continued volatility, Fed policy shifts
- **Medium-term (1-3 years):** Inflation may remain elevated, asset prices adjust
- **Long-term (5-10 years):** Potential new monetary system, wealth gap may widen

Action Steps to Consider:

1. Audit your portfolio - understand what you own
 2. Educate yourself on inflation-protected strategies
 3. Learn systematic selling rules
 4. Monitor key economic indicators
 5. Consult with qualified financial professionals
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Reflection Questions:

Question 19: What's the #1 thing you learned from this video that you didn't know before?

Question 20: What's ONE action you want to take in the next 30 days to improve your financial education or positioning? (Remember: education first, action second!)

Question 21: On a scale of 1-10, how much more confident do you feel about understanding the Fed's actions and their impact on your money?

BEFORE the video: 1 — 2 — 3 — 4 — 5 — 6 — 7 — 8 — 9 — 10

AFTER the video: 1 — 2 — 3 — 4 — 5 — 6 — 7 — 8 — 9 — 10

Final Thoughts

Congratulations on completing this workbook! You've taken an important step in your financial education journey.

Remember These Key Principles:

- Education is the foundation of good decision-making
- Understanding history helps you prepare for the future
- Asset allocation matters, especially during inflation
- Having a selling strategy is just as important as buying
- No one can predict the future with certainty
- Always consult qualified professionals before making investment decisions

Keep Learning: Financial education is a lifelong journey. The more you understand about how money, markets, and monetary policy work, the better equipped you'll be to make informed decisions.

Ready to Take Your Investment Education Further?

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